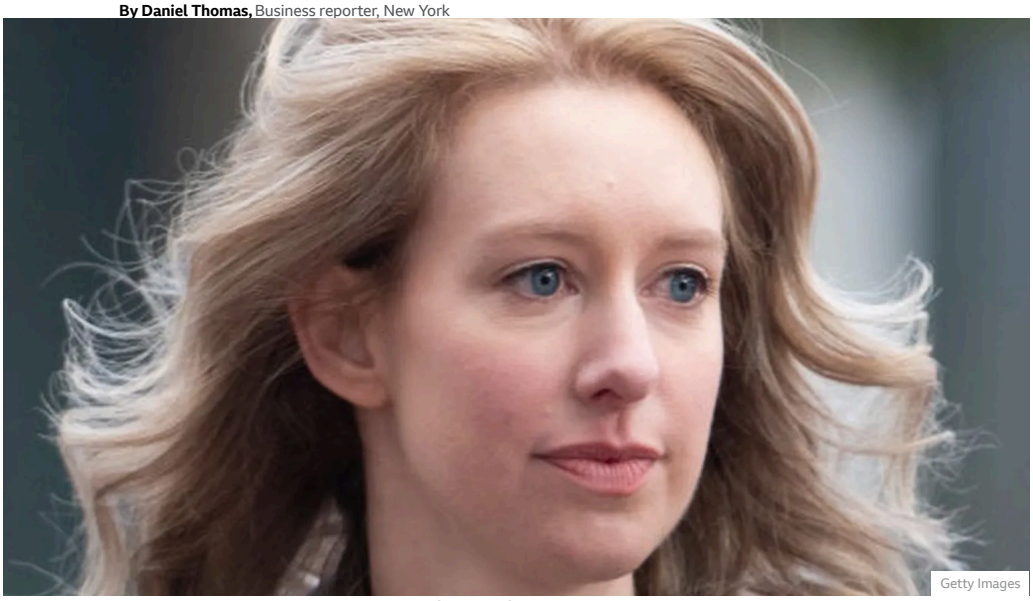
BBC
Register Sign In
Home News Sport Business Innovation Culture Travel Earth Video Live

Theranos scandal: Who is Elizabeth Holmes and why was she on trial?

19 November 2022

Share

By Daniel Thomas, Business reporter, New York



Getty Images

She was "the world's youngest self-made female billionaire", trumpeted Forbes magazine. The "next Steve Jobs", said Inc, another business magazine that put her on the cover.

In 2014, Elizabeth Holmes, then 30 years old, was on top of the world. A Stanford University drop-out, she had founded a company valued at $9bn (£6.5bn) for supposedly bringing about a revolution in diagnosing disease.

With a few drops of blood, Theranos promised that its Edison test could detect conditions such as cancer and diabetes quickly without the hassle of needles. Bigwigs from Henry Kissinger to general James Mattis sat on the board.

But by 2015, the seams were coming apart, and within a year, Holmes was exposed as a fake. The technology she touted didn't work at all, and by 2018 the company she founded had collapsed.

In January, she was **convicted by a jury in California on four counts of fraud**, each of which carries a maximum sentence of 20 years in prison.

The jury found her not guilty on four other charges and failed to reach a verdict on

Let us know you agree to cookies

We use cookies to give you the best online experience.
Please let us know if you agree to all of these cookies.

Yes, I agree
No, take me to settings



Media tycoon Rupert Murdoch lost £120m he had invested in Theranos

During the trial Holmes accused her ex-boyfriend and business partner, Ramesh "Sunny" Balwani, of emotional and sexual abuse at the time of the alleged crimes, impairing her mental state.

Balwani, 56, who faced the same fraud charges, was convicted in July and is due to be sentenced next month. He had called the claims "outrageous".

High pressure beginnings

Despite being the subject of a book, HBO documentary, TV series and an upcoming film, it is still unclear why Holmes took such a gamble on technology she knew didn't work.

She was raised in a comfortably well-off family in Washington DC, and was a polite but withdrawn child, according to people who knew her.

Inventor and businessman Richard Fuisz, 81, speculated there must have been immense pressure on Holmes to succeed. His family lived next door to the Holmes family for years, but they fell out when Theranos sued him over a patent dispute in 2011 (it was later settled).

- Theranos founder hit with criminal charges
- When to fire the boss: A tale of three sackings

Holmes's parents spent much of their careers as bureaucrats on Capitol Hill, but "they were very interested in status" and "lived for connections", he told the BBC. Her father's great-great-grandfather founded Fleischmann's Yeast, which changed America's bread industry, and the family was very conscious about its lineage, he said.

At age nine, the young Elizabeth wrote a letter to her father declaring that what she "really want[ed] out of life is to discover something new, something that mankind didn't know was possible to do".

When she got to Stanford University in 2002 to study chemical engineering, she came up with an idea for a patch that could scan the wearer for infections and release antibiotics as needed.



Let us know you agree to cookies

We use cookies to give you the best online experience.
Please let us know if you agree to all of these cookies.

No, take me to settings

Dr Phyllis Gardner told Holmes her idea would not work

At 18, she already displayed an intransigence that would apparently continue and drive the company she would found the following year.
Phyllis Gardner, an expert in clinical pharmacology at Stanford, recalled discussing Holmes's skin-patch idea and telling her it "wouldn't work".

"She just stared through me," Dr Gardner told the BBC.
"And she just seemed absolutely confident of her own brilliance. She wasn't interested in my expertise and it was upsetting."

Meteoric rise

Months later Holmes dropped out of Stanford aged 19 and launched Theranos, this time coming up with an apparently revolutionary way of testing blood from a simple finger prick.
Powerful people were enthralled and invested without seeing audited financial accounts.
US Treasury Secretary George Schultz, media tycoon Rupert Murdoch and America's richest family, the Waltons, were among her backers.

The support lent her credibility, as did her demeanour.
"I knew she'd had this brilliant idea and that she had managed to convince all these investors and scientists," said Dr Jeffrey Flier, the former dean of Harvard Medical School, who met her for lunch in 2015.
"She was self-assured, but when I asked her several questions about her technology she didn't look like she understood," added Dr Flier, who never formally assessed her technology. "It seemed a bit odd, but I didn't come away thinking it was a fraud."



Getty Images

On stage with former US President Bill Clinton in 2015. At the time Ms Holmes was said to be the world's youngest self-made female billionaire

Dr Flier ended up inviting her to join the medical school's Board of Fellows, which he regrets, although she was removed when the scandal broke.

It began to unravel in 2015 when a whistleblower raised concerns about Theranos' flagship testing device, the Edison. The Wall Street Journal wrote a series of damning exposes claiming the results were unreliable and that the firm had been using commercially available machines made by other manufacturers for most of its testing.
Lawsuits piled up, partners cut ties and in 2016 US regulators banned Holmes from operating a blood-testing service for two years.
In 2018 Theranos was dissolved.
In March that year, Holmes settled civil charges from financial regulators that she had fraudulently raised $700m from investors.
But three months later she was arrested, along with Mr Balwani, on criminal charges of wire fraud and conspiracy to commit wire fraud.

Prosecutors said she knowingly misled patients about the tests and vastly exaggerated the firm's performance to financial backers.
As the Theranos scandal reached trial, commentators said it was remarkable how tightly Holmes clung to her original story, and people who knew her said they doubt she has changed.
Since the trial, Holmes has been living in California with partner William "Billy" Evans, 27, an heir to the Evans Hotel Group. They had a son in July 2021 and she is pregnant with their second child.
Holmes's attorneys had said she should not face prison time on the grounds that she was not a danger to society. They offered testimony from more than 130 people on her

Let us know you agree to cookies

We use cookies to give you the best online experience.
Please let us know if you agree to all of these cookies.

No, take me to settings

Bad blood: The rise and fall of Theranos
Theranos founder hit with criminal charges
Theranos founder in $700m fraud charge
When to fire the boss: A tale of three sackings
Fake heiress found guilty over NY scam

Rupert Murdoch Theranos trial Fraud

Related

Family criticise police over McKay killer approach

10 Mar 2024 Beds, Herts & Bucks

Muriel McKay killer 'willing' to show where body is

9 Mar 2024 Beds, Herts & Bucks

Media tycoon Rupert Murdoch engaged for sixth time

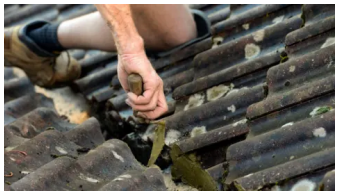
8 Mar 2024 Entertainment & Arts

More

3 hrs ago

Pair sentenced for 'significant' money laundering

Two men are sentenced following their part in a fraud that led to a pensioner paying out £406k.



3 hrs ago Wiltshire

3 days ago

Romance fraud victim speaks out after losing £50k

A widow who was preyed upon by online scammers wants to help others after losing her life savings.



3 days ago Liverpool

6 days ago

Police seize luxury goods in fraud raids across EU

A criminal network is suspected of embezzling millions from an EU post-Covid recovery scheme.



6 days ago Europe

7 days ago

'We travelled to Belgium to find our Airbnb didn't exist'

Mehri Jafarpour Shalmani says she arrived in Belgium to find the £845 listing was a scam.



7 days ago Birmingham & Black Country

7 days ago

Billionaire Joe Lewis fined $5m but avoids prison

The 87-year-old - whose family trust owns Tottenham Hotspur - gave secret stock tips to his girlfriend and employees.



7 days ago US & Canada

Let us know you agree to cookies

We use cookies to give you the best online experience.
Please let us know if you agree to all of these cookies.

No, take me to settings

Terms of Use About the BBC Privacy Policy Cookies Accessibility Help Contact the BBC Advertise with us Do not share or sell my info Contact technical support

Copyright 2024 BBC. All rights reserved. The *BBC* is *not responsible for the content of external sites.* **Read about our approach to external linking.**

Let us know you agree to cookies

We use cookies to give you the best online experience.
Please let us know if you agree to all of these cookies.

No, take me to settings